BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company of New York, Inc.

Cases 25-E-0072 and 25-G-0073

May 2025

Prepared Testimony of:

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Q. Please state your name, employer, and business address.

A. My name is Daniel S. Gadomski. I am employed by the New York State Department of Public Service, referred to as the Department. My business address is Three Empire State Plaza, Albany, New York 12223-1350.

Q. Mr. Gadomski, what is your position in the Department?

A. I am employed as an Associate Economist in the Office of Regulatory Economics.

Q. Please briefly state your educational background and professional experience.

A. I received a Bachelor of Arts degree in Economics from the State University of New York at Albany in 2014. I have been employed by the Department since 2014.

Q. Please briefly describe your current responsibilities at the Department.

A. My current responsibilities at the Department include analyzing inflation and sales forecasting issues in rate proceedings.

Q. Have you previously testified in proceedings before the Commission?

A. Yes. I have testified before the Commission in many rate proceedings regarding sales forecasting and inflation. Most recently, I testified in Cases 22-E-0317, 22-G-0318, 22-E-0319, and 22-G-0320 regarding New York State Electric & Gas Corporation and Rochester Gas & Electric Corporation; Cases 21-G-0577 and 24-G-0668 regarding Liberty Utilities (St. Lawrence Gas) Corp.; Cases 20-G-0101, 21-G-0394, and 24-G-0447 regarding Corning Natural Gas Corporation; Cases 20-E-0428 and 20-G-0429, and Cases 23-E-0418 and 23-G-0419 regarding Central Hudson Gas & Electric Corporation; Case 23-G-0225 and 23-G-0226 regarding The Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid; and Case 23-G-0627 regarding National Fuel Gas Distribution Corporation.

Summary of Testimony

Q. What is the purpose of your testimony?

A. I address the Company's escalation of health insurance expenses and the manner in which it used the Gross Domestic Product Price Index (GDP-PI) to escalate various cost of service

elements.

Q. Mr. Gadomski, did you prepare any exhibits along with your testimony?

A. Yes. Exhibit___(DSG-1) contains my calculation of inflation for the 12 months ending September 30, 2024 (Historic Test Year, or HTY) to the 12 months ending December 31, 2026 (Rate Year 1, or RY1), 12 months ending December 31, 2027, and 12 months ending December 31, 2028, based on the latest available Blue Chip Economic Indicators forecasts of GDP-PI inflation published April 10, 2025. Exhibit___(DSG-2), contains my analysis of the relationship of health care costs to the Gross Domestic Product Price Index (GDP-PI) inflation index.

Q. Are you sponsoring any other exhibits?

A. No.

Q. Please describe how the Company escalated costs for inflation.

A. On Page 63, of the direct testimony of the Accounting Panel, the Panel states that it relied on the GDP deflator published by the U.S. Bureau of Economic Analysis, and the October 2024, issue of the Blue Chip Economic

Indicators, to escalate various costs of service elements from the HTY to RY1, and from RY1 to the periods of 12 months ending December 31, 2027, which the Panel defines as "Rate Year 2", and from RY2 to the 12 months ending December 31, 2028, which the Panel defines as "Rate Year 3".

Q. What did the Company project for inflation in each of the rate years?

A. As illustrated in the Panel's Exhibit___(AP-3), it projects an increase of 5.02 percent from the HTY to RY1, 2.20 percent for "Rate Year 2", and 2.10 percent for "Rate Year 3".

Q. Did the Company update these projections in its corrections and updates filing on April 10, 2025?

A. Yes. As presented in Exhibit AP-3, Schedule 14, and described on page 14 of the Accounting Panel Update/Correction Testimony, the Panel relied on actual data through February 28, 2025, and the quarterly Blue Chip forecasts for 2025 through 2026 based on the February 2025 Issue of the Blue Chip Economic Indicators. With this update, the Company indicates that the general

escalation rate from the historic test year to RY1 increased from 5.02% to 5.51%. The rate remained stable at 2.20% for RY2 and RY3.

Q. Do you agree with this methodology?

A. Yes, I do. The Company's reliance on the Blue Chip consensus forecasts aligns with Commission's long-standing requirement, established in its Notice of Proposed Change in the Index Used to Measure Inflation for Use in Rate Making Proceedings in Case 92-M-0184.

Q. Do you have any recommendations regarding the inflation calculation?

A. Yes. I recommend calculating the inflation rate using the latest published consensus short-term and long-range forecasts of the GDP-PI, included in the Blue Chip Economic Indicators.

Q. What do you project for inflation based on these recent forecasts?

A. Based on a weighted average calculation using these latest available forecasts, I project inflation as an increase of 6.619 percent from the HTY to RY1, 2.40 percent for the 12 months ending December 31, 2027, and 2.20 percent for the 12 months ending December 31, 2028. The

calculations are included in Exhibit___(DSG-1).

Q. Do you recommend an update to inflation rate estimates later in these proceedings?

A. Yes, I recommend that the Commission update the estimate of inflation prior to the issuance of a rate order in these proceedings using the latest Blue Chip Consensus forecasts of GDP-PI to capture the most up-to-date information for projections.

Health Insurance Costs

Q. Please describe how the Company forecasted its Rate Year health care costs.

A. As discussed on Page 67 of the Company's Compensation/Benefits Panel testimony, the Panel escalated health care costs based on two elements: (1) the impact of continued employee migration to lower-cost plans (High Deductible and Essential Health Plans), and (2) medical inflation of six percent for the self-insured program and eight percent for the HMO plans.

Q. What is the Commission's policy on forecasting health care costs?

A. The Commission's long-standing practice is to escalate health care costs by the general

inflation rate, as measured by the GDP-PI inflation index. This policy was first established in Commission Opinion No. 84-27, 18 issued on October 12, 1986.

Q. Does the GDP-PI reflect increases in health care costs?

A. Yes. Health care costs constitute a significant portion of the costs included in the GDP-PI inflation index. Thus, changes in the GDP-PI reflect large percentage increases in health care costs. However, Exhibit___(DSG-2) shows there are other components of costs in the GDP-PI, that have increased at a rate lower than the overall average GDP-PI rate.

Q. Why is it unreasonable, to escalate some costs by higher health care plan-specific inflation percentages, as the Company proposes, and all other costs by the GDP-PI escalator?

A. The Company has not adjusted the GDP-PI escalator to remove the impact of higher health care plan-specific inflation percentages, before applying that escalator to non-health care related inflation pools. In the most recent order addressing this issue, the June 26, 2014,

Order Establishing Rates in Case 13-W-0295, the Commission explained that the generic inflation rate is an average of inflationary and deflationary changes in the prices of all the various goods and services in the pool of costs to which inflation is applied. Some costs in the generic inflation pool are expected to increase at a greater rate than the general inflation rate while others are expected to increase at a lesser rate than the general inflation rate. It is unreasonable to solely remove medical expense from the pool, which is expected to increase at a much higher rate than general inflation, without also removing expense items that are expected to increase at a lower rate than general inflation, if unadjusted GDP-PI is to remain a reasonable escalator for the pool of expenses.

Q. Did you make an adjustment to the Company's forecast of health insurance costs to reflect the escalation of health insurance costs by the GDP-PI?

A. Yes. The calculation of this adjustment is presented in the testimony of the Staff

Accounting Panel.

Q. Does this conclude your testimony at this time?

A. Yes.